Figure 8.1 Comparison of supply schedules of bitcoin, the U.S. dollar, and gold

Precious metals have long been valued for their scarcity and aesthetic appeal, even though, as metals, most are largely inferior to other more common metals. Their malleability makes them impossible to use for structural support as they can easily be deformed. However, due to their scarcity and now near universal acceptance as a form of beauty, they have come to be considered a relatively safe store of value. Notice also, Figure 8.1 reveals that gold's supply is on an inflationary schedule. In other words, each year more gold is pulled out of the ground than the year before, much to the surprise of many gold bugs.

Cryptoassets, like gold, are often constructed to be scarce in their supply. Many will be even more scarce than gold and other precious metals. The supply schedule of cryptoassets typically is metered mathematically and set in code at the genesis of the underlying protocol or distributed application.

Bitcoin provides for a maximum of 21 million units by 2140, and it gets there by cutting the rate of supply inflation every four years. Currently, the supply schedule is at 4 percent annually, in 2020 that will be cut to 2 percent annually, and in 2024 it will drop to 1 percent annually. As discussed earlier, Satoshi crafted the system this way because he needed initially to bootstrap support for Bitcoin, which he did by issuing large amounts of the coin for the earliest contributors. As Bitcoin matured, the value of its native asset appreciated, which means less bitcoin had to be issued to continue to motivate people to contribute. Now that Bitcoin is over eight years old, it